

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the)
Interstate Transmission System)

Docket No. RM26-4-000

**COMMENTS OF
THE UTILITY INTERVENTION UNIT**

On October 23, 2025, pursuant to section 403 of the Department of Energy Organization Act, the Secretary of Energy issued a directive to the Federal Energy Regulatory Commission (Commission or FERC) to initiate an advanced notice of proposed rulemaking (ANOPR) for consideration and final action by April 30, 2026. The ANOPR focuses on reforms to the interconnection processes for large loads connecting to the transmission system. The Commission issued a Notice Inviting Comments on October 27, 2025. The period for receiving comments was subsequently extended by the Commission to November 21, 2025.¹

The New York State Department of State Utility Intervention Unit (UIU) offers the following comments to inform the Commission’s decision-making in this proceeding. The UIU is statutorily responsible under New York State Executive Law Section 94-a for representing the interests of consumers of the State of New York before federal, state, and local administrative and regulatory agencies engaged in the regulation of energy services. UIU is also the designated Statewide Consumer Advocate when participating in matters before the New York Independent System Operator (NYISO). In this role, UIU serves as a member of the End-Use Consumer Sector to advance the interests of end-use

¹ Notice Granting Extension of Time.

consumers. The outcome of any changes due to this process could have significant impacts on the customers that we represent.

I. Introduction and Summary

Data centers often require substantial grid upgrades, and unless carefully managed, these costs risk being unfairly shifted to residential and small business ratepayers who do not directly benefit. Protecting consumers means ensuring that developers bear the costs of infrastructure driven by their own demand (ignoring co-located generation), that planning processes remain open to public scrutiny, and that regional coordination prevents unintended reliability or cost consequences. Transmission Owners should require large loads to acquire transmission services commensurate with their withdrawal rights. Moreover, transmission planning must align with public policy goals, including decarbonization and energy efficiency, to ensure that large load interconnections serve the broader public interest and not just their own private commercial gain.

The Commission's ANOPR proposes reforms to address emerging challenges associated with the interconnection of large loads to the transmission system.² The Commission seeks comments as to whether it should establish standardized procedures and agreements for large loads, generally 20 MW and above connecting directly to the bulk transmission grid, including hybrid facilities that co-locate generation and load behind a single point of interconnection. UIU recommends that the Commission consider the following matters in the content of the rulemaking:

1. Existing loads should not pay, even indirectly, for large load interconnections.

² ANOPR at P 1.

2. The Commission should respect regional differences and variations among RTO/ISO interconnection frameworks.
3. Large loads should be integrated into the cluster study processes, cost-allocation methodologies, and reliability review standards.
4. Large load interconnections should not adversely impact resource adequacy, i.e., should not take supply away from existing network loads.

II. Jurisdiction and Scope

On July 28, 2023, the Commission issued a new rule to reform procedures and agreements that electric transmission providers use to integrate new generating facilities into the electric grid. Designated as Order No. 2023, the Commission adopted these reforms to reduce backlogs for projects seeking to connect to the transmission system, improve certainty in the interconnection processes managed by the dozens of transmission providers around the country, and ensure access to the transmission system for new technologies. On March 21, 2024, the Commission amended parts of that Order in Order No. 2023-A by providing modifications and specific clarifications regarding generator interconnection procedures.

Substantial work has been done under FERC Order No. 2023 and with the NYISO through its compliance filings; that work needs to be recognized and preserved. Significant progress has already been completed on load modeling, queue administration, and transmission planning. Any new large load rules should be built upon NYISO's established interconnection processes, manuals, and datasets rather than overriding them. Creating a national standard could introduce confusion, conflicting study timelines, or

inconsistent cost-responsibility determinations at a time when speed in the interconnection process is needed most.

The Commission should consider the unique structure of each RTO/ISO and allow regions to preserve the right to seek variations. The Commission should be mindful of costs and burdens to ratepayers associated with bifurcating interconnection protocols for generation and loads as well and avoid the need to relitigate recently settled cost-allocation precedents established under NYISO Attachments HH. UIU urges the Commission to ensure that existing loads do not pay for large load interconnection and that the interconnection of large loads does take away or diminish any existing network load rights.

III. Study Process

UIU supports the ANOPR proposal to study load and hybrid facilities together with generating facilities. UIU agrees that both generation and large load projects create changes in system power flows, and thus large load and generation should be studied under similar methodologies to ensure a fair, comparable, and coordinated infrastructure planning across the NYISO bulk power system. In NYISO, Attachment HH of the Open Access Transmission Tariff (OATT) governs generator and storage interconnections including the procedural steps such as Feasibility Studies, System Impact Studies and Facilities Studies.³ Attachment HH defines cost allocation for transmission projects that are required as a result of an interconnection request which could include a generator, transmission project, or large load. Manual 23 provides a procedural and technical

³ New York Independent System Operator (NYISO) Open Access Transmission Tariff, Attachment HH - Standard Interconnection Procedures (eff May 2, 2024).

companion to Attachment HH.⁴ Together, both documents provide an important framework for large load interconnection.

IV. Readiness Requirements

UIU supports the ANOPR proposal to require that generating facilities, load and hybrid facilities be subject to standardized study deposits, readiness requirements, and withdrawal penalties. NYISO's unified process under Attachments HH and Manual 23 ensures that network upgrades are coordinated, non-duplicative, and properly sized at just and reasonable rates to the consumers. Large loads impose comparable and quantifiable impacts to the transmission system that require careful evaluation and consideration to interconnection within NYISO. Any interconnection must be studied for their effect on system reliability, deliverability, and congestion to ensure the reliability of the bulk power system.

The NYISO Interconnection Queue process established in NYISO Attachment HH set forth reasonable analytical steps, queue priority rules, and project milestones that have been vetted and approved to deter speculative projects and provide transmission providers with useful information to more accurately forecast demand on their systems. UIU supports applying equitable and consistent standards, such as the established NYISO interconnection procedures, to large loads to ensure the delivery of power at an equitable, least-cost, just and reasonable rate. UIU opposes any consideration of a less rigorous interconnection process applicable to large load interconnection. If large load interconnections were managed through a separate, less-rigorous process, it could create inequities and disrupt the timing and results of sequential interconnection cluster studies.

⁴ New York Independent System Operator (NYISO) Manual 23, Transmission Expansion and Interconnection Manual.

V. Hybrid Resources Incentives

Utilizing the ANOPR example, where a hybrid facility consisting of a 500 MW load and a 600 MW generating facility seeks no withdrawal rights and 100MW of injection rights, UIU opposes the contention that the hybrid facilities should not be required to meet the minimum interconnection requirements applicable to its entire load or generation.⁵ UIU suggests that hybrid facilities be studied for their full injection and withdrawal rights as failing to consider these impacts could impose unnecessary risks to the bulk power system.

The type of incentive promulgated in the ANOPR would distort queue prioritization, potentially allowing large loads to leapfrog generation projects competing for the same transfer capability because they are not required to financially support their full interconnection request. UIU requests that Commission exercise caution when considering “incentives” for hybrid resources to ensure that co-location does not adversely impact the reliability of bulk power system or compromise interconnection on a non-discriminatory basis.

VI. Curtailment and Dispatchability of Large Loads

UIU rejects the ANOPRs premise that large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited. UIU contends that the system operator's ability to control such facilities through curtailment and/or dispatch must be sufficient for the system operator to integrate the facility into both operations and system planning. However, curtailable and dispatchability are not a substitute for generation capacity, such that large loads agreeing to disconnect in

⁵ ANOPR at P 22.

exchange for some sort of non-firm service may result in degrading the reliability of the bulk power system.

For example, large loads present increased uncertainty in load forecasting. Large loads can be flexible and can change their consumption patterns quickly, making it harder for system operators to predict demand accurately. In addition, large loads can create operational complexity if curtailment is voluntary or price-driven, and operators cannot guarantee reductions during emergencies.

Similarly, large load presents some market and economic risks such as price volatility wherein flexible loads responding to real-time prices can amplify price swings, especially in scarcity conditions. In addition, large loads could strategically curtail to influence prices or avoid uplift charges, creating potential for gaming. Finally, another risk is extreme weather events, as flexible loads may not curtail during critical periods if economic incentives are insufficient, increasing stress on the system.

Risk Matrix: Curtailable/Flexible Load:

Risk	Likelihood	Impact
Uncertainty in Load Forecasting	High	High
Operational Complexity	Medium	High
Transmission Planning Errors	Medium	Medium
Price Volatility	High	Medium
Gaming Potential	Low	Medium
Extreme Event Curtailment Failure	Low-Medium	High

For example, during such extreme weather events as heat waves or winter reliability emergencies, these facilities may be unable or unwilling to curtail due to operational constraints. If curtailment fails, the system operator must still serve the load, often dispatching higher cost peaking resources. Those emergency costs flow through NYISO's real-time market and appear in ratepayers' bills via uplift and capacity charges. A customer receiving interconnection priority for being curtailable but failing to perform could expose consumers to higher costs and reliability risks. Accordingly, the Commission should require that any curtailable-load program include enforceable telemetry, performance metrics, and non-performance penalties consistent with NYISO's Installed Capacity Market Manual, Section 4.12 (Demand Response Performance Criteria).

VII. Network Upgrades for Hybrid Facilities

Under NYISO's current interconnection framework, generation developers are responsible for 100% of the cost of system upgrades necessary to support their interconnection, creating a well-known "first mover" disadvantage.⁶ While NYISO has shifted to a two-phase cluster study approach, cost sharing is only contained within a given cluster study.

The Commission generally applies a "beneficiary pays" framework, meaning that the costs for network upgrades are allocated to the specific generator, or load driving the need for those facilities, ensuring that costs are roughly commensurate with benefits.⁷

⁶ See, Mathangi Srinivasan Kumar, PowerPoint Presentation Interconnection Process Overview WebEx Presentation 2024, NYISO's Standard Interconnection Procedures, available at <https://www.nyiso.com/documents/20142/41887799/NYISOs-Standard-Interconnections-Procedures.pdf/24a6a12e-bce1-c9ea-3a58-f634dc36bc55?t=1743110746480>

⁷ See, 18 C.F.R. § 35.35(d)(2).

NYISO uses a proportional MW allocation for shared System Upgrade Facilities within its cluster studies and that approach should include hybrid large loads.

UIU recommends the Commission consider ways to allow cost sharing across cluster studies. It is important to understand how the NYISO would treat the ANOPR example, where a hybrid facility consisting of a 500 MW load and a 600 MW generating facility. NYISO assigns upgrade costs and network upgrades necessary to serve the full requirements of the hybrid facility. Any network upgrades that are required from the hybrid facility when studied in a given cluster are included as an assumption in subsequent studies. Future generators that interconnect without requiring further network upgrades, because of a large load's committed upgrades, may reimburse the large load for a portion of those costs for a set period (e.g., 10 years).

This approach diffuses the perverse first mover problem and retains incentives to site in reasonable locations (i.e., where incremental upgrade costs are low). Consistent with long-standing FERC precedent, all incremental interconnection and upgrade costs directly attributable to a new load should be borne by that entity. Large loads differ from typical retail demand growth in that they are discrete, identifiable customers capable of financing the infrastructure are required to serve them. Applying this type of crediting mechanism ensures that utilities do not socialize the costs of new substations, transformers, or transmission reinforcements that primarily benefit one or a few large customers. The Commission could consider allowing regions such as NYISO to utilize this type of approach when developing the large load interconnection standards.

Each large load project's cost responsibility must reflect the incremental cost of required local and network upgrades, ensuring that large load developers fund the

infrastructure needed to support their own demand. Critically, any measurable reliability or congestion relief benefits provided to other transmission customers must be rigorously quantified and transparently documented. For example, if a large load triggers upgrades that also alleviate pre-existing congestion or enhance system reliability for others, those shared benefits may justify partial cost allocation but only to the extent that such benefits are technically and rigidly demonstrable and not speculative. Costs unsupported by quantifiable benefits must not be socialized to general transmission customers. Uniform application of cost-causation principles protects against undue discrimination and hidden subsidies, deviating from this discipline risks both inequity and legal challenge under the Federal Power Act.

VIII. Resource Adequacy

Large loads can present resource adequacy and planning risks as large flexible loads may appear firm during planning but curtail during scarcity events, reducing actual demand and skewing resource adequacy assumptions. If large loads curtail frequently, planners may under-build infrastructure, creating congestion and increasing rate payer costs. UIU urges the Commission to protect consumers from bearing adverse impacts from large load integration, particularly from energy-intensive developments like data centers. Any expansion of NYISO's interconnection process must strictly adhere to Commission-approved transmission planning principles which include, transparency, regional coordination, open participation, and cost allocation roughly commensurate with benefits.⁸ The Commission should consider comparable rules around hybrid large loads

⁸ Order No. 1000, *Transmission Planning and Cost Allocation Owning & Operating Pub. Utils.*, 136 F.E.R.C. ¶ 61,051 (2011) at P 10–12. (Order No. 1000 is directly related to protecting consumers through its goal of ensuring that transmission services are provided at just and reasonable rates and in a manner that

to prevent switching or toggling to become behind-the meter (BTM) generation to prevent unjust and unreasonable cost shifts to the consumers. For example, an existing generator that wants to retreat behind the meter to serve a large load must undergo a Reliability Must Run (RMR)-type study that looks forward at expected system conditions at least three years forward. The rationale is that removing a resource from the market to service a dedicated load could impact resource adequacy. To the extent that it results in a shortage, then the resource should not be allowed to go behind the meter unless and until the possible shortfall is addressed. In no instance should existing load customers be on the hook for increased capacity costs (this includes the cost of RMR-style contracts) because a generator has decided to exit the market to serve a large load BTM.

Similarly large loads with co-located generation should be treated comparably to all loads taking firm network transmission service to meet their needs and in doing so, have a reasonable expectation that they can purchase power from the network on demand and that the power be deliverable and include the responsibility for ancillary services based on peak demand without consideration of co-located generation. We advocate that the Commission require that all BTM treatment can only proceed after system upgrades are made, at the loads expense. A no-adverse-impact standard should be applied to system resource adequacy, similar to the standard used for firm transmission interconnections.

IX. Conclusion

The Large Load ANOPR represents an important step toward modernizing and standardizing the interconnection framework for the next era of U.S. electrification. However, success will depend on building upon existing NYISO processes, maintaining

is not unduly discriminatory or preferential. The components of Order No. 1000 were further expanded on in FERC Order No. 1920, particularly in long-term regional transmission planning.)

cost transparency, and upholding consumer-protection principles. The Commission should instruct each RTO/ISO to extend its existing methodology of the generator interconnection process to large loads, applying uniform study procedures, cost-allocation rules, and tariff governance. Doing so will ensure that data center and industrial growth proceeds in a manner that is economically efficient, reliable, and fair to all ratepayers.

Respectfully submitted,

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